PRIORITY 8 OF 33 · SCORE 3.5

Federal Communications Commission (USF)

Almost all FCC spending is the Universal Service Fund, run by USAC: E-Rate for schools and libraries, Lifeline for low-income phone service, Rural Health Care and High Cost support. USAC publishes unusually detailed data, down to each E-Rate funding request, service provider and school. That makes the FCC a contained, data-rich pilot where the SBA patterns (shared addresses, related bidders, ineligible recipients) apply well.

INVESTIGATIONS WE PROPOSE

FCC-1	E-Rate consultant and provider networks with high single-bid share and high prices. **First prototype.** One-page pitch available.
FCC-2	Lifeline and ACP enrollment beyond eligible households.
FCC-3	Rural Health Care rate outliers.

EXPOSURE

- $10.1B in FY2026 outlays.
- Lifeline: $830M in FY2025 outlays with about 9% improper (about $76M).
- E-Rate kickback and bid rigging cases between providers, consultants and school officials are a long-running DOJ case type.

PUBLIC DATA WE USE

- **USAC Open Data:** E-Rate funding requests, commitments and disbursements by applicant and provider; Lifeline subscribers and support by provider and state; Rural Health Care commitments.
- **FCC National Broadband Map** and Form 477 history.
- **USAC investigation documents** and FCC enforcement actions.

HOW WE DETECT IT

1. **E-Rate collusion:** the same consultant or provider winning across many applicants with one bid, prices far above peers, and providers sharing owners with consultants.
2. **Lifeline outliers:** providers with subscriber counts or claims per area far beyond eligible population.
3. **Rural Health Care pricing:** urban/rural rate gaps far above peers.

FIRST PROTOTYPE

An E-Rate provider and consultant network map for the last five funding years, ranking relationships by single-bid share and price outliers.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 8–11
Jan 4, 2027 to Jan 29, 2027

Workstream
Contained pilots

FY2026 outlays
$10.1B · budget rank 25

Leads go to
FCC EB and OIG, USAC

WHY PRIORITY 8

Exposure	●●●○○
Public data	●●●●○
SBA method fit	●●●●○
Actionability	●●●○○

OUR REVIEW, DELIVERED WEEK 11

E-Rate network map and ranked relationships; Lifeline and ACP provider outlier table; review memo.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF FCC

Phase 2 data: USAC Lifeline subscriber data (National Verifier), E-Rate bid documents.

What it enables: Duplicate and phantom subscribers; full bid analysis.

Access route: USAC; FCC OIG.

LIMITS

Subscriber identities are not public. Bids and contracts are summarized, not published in full.

SOURCES

- PaymentAccuracy.gov: USF Lifeline
- USAC investigation documents
- DOJ: Illinois technology company owner pleads guilty to E-Rate fraud
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

Steve Taylor, Managing Partner, Geodesic Solutions · taylor@geodesic.pro